Advance Research and Innovation Center (Formally, Aerospace Research and Innovation Center "ARIC")

Report and financial statements for the year ended 31 December 2022

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Statement of financial position
as at 31 December 2022

	Notes	2022 AED	2021 AED
ASSETS			
Non-current assets			
Equipment	**5**	**5,416,915**	6,018,566
Intangible assets	**6**	**-**	-
Total non-current assets		**5,416,915**	6,018,566
Current assets			
Other receivables	**7**	**2,182**	589,469
Cash and bank balances	**8**	**2,589,370**	1,199,889
Total current assets		**2,591,552**	1,789,358
Total assets		**8,008,467**	7,807,924
LIABILITIES			
Non-current liabilities			
Provision for employees' end of service benefits	**10**	**155,746**	109,472
Current liabilities			
Other payables	**11**	**310,068**	192,371
Due to related parties	**9**	**104,875**	408,333
Total current liabilities		**414,943**	600,704
Total liabilities		**570,689**	710,176
Net assets attributable to center	**12**	**7,437,778**	7,097,748

These financial statements were authorized and approved for issuance on and signed by:

Trustee	**Trustee**
Jalal El Jazzar Senior Vice President – Finance and Investment	**Dr. Steve Griffiths** Chair of SMB

The accompanying notes form an integral part of these financial statements.

Statement of profit or loss and other comprehensive income for the year ended 31 December 2022

	Notes	2022 AED	2021 AED
Contributions and other income			
Contributions recognised as revenue	**12**	**3,312,351**	3,419,409
Other income		**84,418**	-
Total contributions and other income		**3,396,769**	3,419,409
Expenses			
General and administrative expenses	**13**	**2,651,950**	2,173,425
Depreciation expense	**5**	**744,819**	1,187,281
Amortisation expense	**6**	**-**	58,703
Total expenses		**3,396,769**	3,419,409
Profit for the year		**-**	-
Other comprehensive income for the year		-	-
Total comprehensive income for the year		**-**	-

The accompanying notes form an integral part of these financial statements.

Statement of changes in net assets attributable to center for the year ended 31 December 2022

	Note	2022 AED	2021 AED
As at 1 January	**12**	**7,097,748**	9,564,776
Contributions received during the year	**12**	**3,652,381**	952,381
Grant recognized as revenue in the statement of profit or loss and other comprehensive income	**12**	**(3,312,351)**	(3,419,409)
As at 31 December		**7,437,778**	7,097,748

The accompanying notes form an integral part of these financial statements.

Statement of cash flows
for the year ended 31 December 2022

	Notes	2022 AED	2021 AED
Cash flows from operating activities			
Profit for the year		**-**	-
Adjustments for:			
Depreciation expense	**5**	**744,819**	1,187,281
Amortisation expense	**6**	**-**	58,703
Provision for employees' end of service benefit	**10**	**46,274**	63,996
Operating contribution recognized as revenue	**12**	**(2,567,532)**	(2,173,425)
Capital contribution recognized as revenue	**12**	**(744,819)**	(1,245,984)
Operating cash flows before movements in operating assets and liabilities		**(2,521,258)**	(2,109,429)
Changes in working capital:			
Decrease/ (Increase) in other receivables		**587,287**	(35,659)
Increase/ (decrease) in other payables		**117,697**	(14,705)
Decrease in due to related parties		**(303,458)**	(108,295)
Net cash flows used in operating activities		**(2,119,732)**	(2,268,088)
Employees' end of service benefits paid	**10**	**-**	(121,080)
Net cash used in operating activities		**(2,119,732)**	(2,389,168)
Cash flows from investing activity			
Payment of purchase of equipment	**5**	**(143,168)**	(64,020)
Net cash flows used investing activity		**(143,168)**	(64,020)
Cash flows from financing activity			
Contributions received	**12**	**3,652,381**	952,381
Net cash flows used financing activity		3,652,381	952,381
Net (decrease)/increase in cash and cash equivalents		**1,389,481**	(1,500,807)
Cash and cash equivalents at the beginning of the year	**8**	**1,199,889**	2,700,696
Cash and cash equivalents at the end of the year	**8**	**2,589,370**	1,199,889

The accompanying notes form an integral part of these financial statements.

1 General information

Advance Research and Innovation Center (Formally, Aerospace Research and Innovation Center) ("ARIC" or the "Center") is a collaboration between Aerospace Holding Company LLC ("AHC") and Khalifa University of Science and Technology ("KUST"). The Center was initiated on the basis of a collaboration agreement between AHC and KUST dated 28 November 2013 (date of "inception").

The Center is intended to become an enabler for innovation in UAE through investment in people by creating one of the largest aerospace research and innovation Centers in the region through partnership between AHC and KUST.

An update on the agreement dated 28 November 2022 to change the name of the fund from Aerospace Research and Innovation Center to Advance Research and Innovation Center.

The Center is not a separate legal entity and operates from the location and registered address of the University at P.O. Box 127788, Abu Dhabi, United Arab Emirates.

2 Adoption of new and revised Standards

2.1 New and revised IFRSs applied with no material effect on the financial statements

In the current period, the Center has applied the following amendments to IFRSs issued by the International Accounting Standards Board ("IASB") that are mandatorily effective for an accounting period that begins on or after 1 January 2022. The application of these amendments to IFRSs has not had any material impact on the amounts reported for the current period but may affect the accounting for the Center's future transactions or arrangements.

Interest Rate Benchmark Reform - Phase 2 Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16 (IBOR reform Phase 2)

In September 2021, the IASB issued Interest Rate Benchmark Reform (amendments to IFRS 9, IAS 39 and IFRS 7). These amendments modify specific hedge accounting requirements to allow hedge accounting to continue for affected hedges during the period of uncertainty before the hedged items or hedging instruments affected by the current interest rate benchmarks are amended as a result of the on-going interest rate benchmark reforms.

In the current year, the ISAB issued the Phase 2 amendments Interest Rate Benchmark Reform (amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16). Adopting these amendments enables the Group to reflect the effects of transitioning from interbank offered rates (IBOR) to alternative benchmark interest rates (also referred to as 'risk free rates' or RFRs) without giving rise to accounting impacts that would not provide useful information to users of financial statements. The entities can apply the amendments retrospectively with any adjustments recognising in the appropriate components of equity as at 1 January 2022, instead of restating the prior period.

Both the Phase 1 and Phase 2 amendments are not relevant to the Center given that they have not applied hedge accounting to its benchmark interest rate exposures and therefore do not have any impact on the Center's financial statements.

2 Adoption of new and revised Standards (continued)

2.1 New and revised IFRSs applied with no material effect on the financial statements (continued)

Amendments to IFRS 16 *Leases* relating to Covid-19-Related Rent Concessions

In May 2022, the IASB issued Covid-19-Related Rent Concessions (amendment to IFRS 16) that provides practical relief to lessees in accounting for rent concessions occurring as a direct consequence of Covid-19, by introducing a practical expedient to IFRS 16. This practical expedient was available to rent concessions for which any reduction in lease payments affected payments originally due on or before 30 June 2022.

In March 2022, the Board issued Covid-19-Related Rent Concessions beyond 30 June 2022 (Amendment to IFRS 16) that extends the practical expedient to apply to reduction in lease payments originally due on or before 30 June 2022.

The practical expedient permits a lessee to elect not to assess whether a Covid-19-related rent concession is a lease modification. A lessee that makes this election shall account for any change in lease payments resulting from the Covid-19 related rent concession applying IFRS 16 as if the change were not a lease modification.

The practical expedient applies only to rent concessions occurring as a direct consequence of COVID-19 and only if all of the following conditions are met:

- The change in lease payments results in revised consideration for the lease that is substantially the same as, or less than, the consideration for the lease immediately preceding the change;
- Any reduction in lease payments affects only payments originally due on or before 30 June 2022 (a rent concession meets this condition if it results in reduced lease payments on or before 30 June 2022 and increased lease payments that extend beyond 30 June 2022); and
- There is no substantive change to other terms and conditions of the lease.

The amendments are not relevant to the Center given that there are no rent concessions occurred as a direct consequence of COVID-19 and therefore do not have any impact on the Center's financial statements

2 Adoption of new and revised Standards (continued)

2.2 New and revised IFRSs in issue but not yet effective and not early adopted

The Center has not yet applied the following new and revised IFRSs that have been issued but are not yet effective:

New and revised IFRSs	Effective for annual periods beginning on or after
Amendments to IAS 16, *Property, Plant and Equipment* on proceeds before intended use	1 January 2022
Amendments to IAS 37 *Provisions, Contingent Liabilities and Contingent Assets* on Onerous Contracts - Cost of Fulfilling a Contract	1 January 2022
Reference to the Conceptual Framework (Amendments to IFRS 3)	1 January 2022
Annual Improvements to IFRSs 2018-2021 - Amendments to *IFRS 1 First-time Adoption of International Financial Reporting Standards, IFRS 9 Financial Instruments, IFRS 16 Leases,* and *IAS 41 Agriculture*	1 January 2022
Amendments to IAS 1 *Presentation of Financial Statements*: on classification of liabilities as current or non-current	1 January 2023
IFRS 17 *Insurance Contracts*	1 January 2023
IFRS 17 requires insurance liabilities to be measured at a current fulfilment value and provides a more uniform measurement and presentation approach for all insurance contracts. These requirements are designed to achieve the goal of a consistent, principle-based accounting for insurance contracts. IFRS 17 supersedes IFRS 4 *Insurance Contracts* as at 1 January 2023.	
Amendments to IAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors* on definition of accounting estimates	1 January 2023
Amendments to IAS 1 *Presentation of Financial Statements* and IFRS Practice Statement 2 on disclosure of accounting policies	1 January 2023
Amendments to IAS 12 *Income Taxes* on deferred tax related to assets and liabilities arising from a Single Transaction	1 January 2023
Amendments to IFRS 10 *Consolidated Financial Statements* and IAS 28 *Investments in Associates and Joint Ventures (2011)* relating to the treatment of the sale or contribution of assets from and investor to its associate or joint venture.	Effective date deferred indefinitely. Adoption is still permitted.

Management anticipates that these new standards, interpretations and amendments will be adopted in the Center's financial statements as and when they are applicable and adoption of these new standards, interpretations and amendments, may have no material impact on the financial statements of the Center in the period of initial application.

3 Summary of significant accounting policies

3.1 Statement of compliance

The financial statements have been prepared in accordance with the International Financial Reporting Standards (IFRS).

3.2 Basis of preparation and restriction on use

The financial statements of the Center have been prepared in accordance with International Financial Reporting Standards ("IFRS") and IFRIC interpretations. They have been prepared under the historical cost convention.

The Center is a collaboration between Aerospace Holding Company LLC ("AHC") and Khalifa University of Science and Technology ("KUST"). The Center was initiated on the basis of a collaboration agreement between AHC and KUST dated 28 November 2013 (date of "inception"). The Center is not a separate legal entity.

The significant accounting policies are set out below:

3.3 Impairment of non-financial assets

Assets that are subject to depreciation or amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets that suffered impairment are reviewed for possible reversal of the impairment at each reporting date.

3.4 Cash and cash equivalents

Cash and cash equivalents comprise cash on hand and deposits held at call with banks with original maturities of three months or less.

3.5 Provisions

Provisions are recognised when the Center has a present obligation as a result of a past event and it is probable that the Center will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

3.6 Foreign currency translation

(a) Functional and presentation currency

Items included in the financial statements are measured using the currency of the primary economic environment in which the Center operates ("the functional currency").

The financial statements are presented in UAE Dirhams, which is the Center's functional and presentation currency.

3 Summary of significant accounting policies (continued)

3.6 Foreign currency translation (continued)

(b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the statement of comprehensive income.

3.7 Financial instruments

(a) Classification

The Center classifies its financial assets in the following measurement categories:

- those to be measured subsequently at fair value (either through Other Comprehensive Income (OCI), or through profit or loss); and
- those to be measured at amortised cost.

The classification depends on the Center's business model for managing the financial assets that whether the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows and the contractual terms of the cash flows that whether contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. Management determines the classification of its investment at initial recognition.

(b) Recognition and derecognition

Regular purchases and sales of financial assets are recognised on trade-date, the date on which the Center commits to purchase or sell the asset. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Center has transferred substantially all the risks and rewards of ownership.

(c) Measurement

At initial recognition, the Center measures a financial asset at its fair value plus, in the case of a financial asset not at Fair Value through Profit or Loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss. Subsequent measurement of debt instruments depends on the Center's business model for managing the asset and the cash flow characteristics of the asset. There are two measurement categories into which the Center classifies its debt instruments:

1) Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included in finance income using the effective interest rate method.

   Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/(losses) together with foreign exchange gains and losses. Impairment losses are presented as separate line item in the consolidated statement of comprehensive income.

3 Summary of significant accounting policies (continued)

3.7 Financial instruments (continued)

(c) Measurement (continued)

2) Financial assets at Fair Value through Other Comprehensive Income (FVOCI) are carried at fair value. After initial measurement, the Center present fair value gains and losses on equity investments in OCI, there is no subsequent reclassification of fair value gains and losses to the statement of comprehensive income following the derecognition of the investment. Dividends from such investments continue to be recognised in profit or loss as other income when the Center's right to receive payments is established.

(d) Impairment of financial assets

The Center recognizes loss allowances for Expected Credit Losses (ECL) on receivables that are not measured at FVTPL.

The Center always recognises ECL for receivables. The expected credit losses on these financial assets are estimated using a provision matrix based on the Center's historical credit loss experience, adjusted for factors that are specific to the debtors, general economic conditions and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including time value of money where appropriate.

Probability of default (PD)

PD constitutes a key input in measuring ECL. PD is an estimate of the likelihood of default over a given time horizon, the calculation of which includes historical data, assumptions and expectations of future conditions.

Loss Given Default (LGD)

LGD is an estimate of the loss arising on default. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, taking into account cash flows from collateral and integral credit enhancements.

(e) Offsetting financial instruments

Financial assets and financial liabilities are offset and the net amount reported in the consolidated statement of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and in the event of default, insolvency or bankruptcy of the Center or the counterparty.

3.8 Equipment

Equipment is stated at historical cost less accumulated depreciation. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

3 Summary of significant accounting policies (continued)

3.8 Equipment (continued)

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Center and the cost of the item can be measured reliably. All other repairs and maintenance expenses are charged to statement of profit or loss and other comprehensive income during the financial period in which they are incurred.

Depreciation is calculated using the straight-line method to allocate the assets' cost to their residual values over their estimated useful lives.

The impact of the changes in accounting estimates is disclosed in Note 4.

Plant & machinery	4 – 10 years
Furniture and fixtures	5 years
Buildings	20 years

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted prospectively if appropriate, if there is an indication of a significant change since the last reporting date.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised in the statement of profit or loss and other comprehensive income.

3.9 Intangible assets

Intangible assets are stated at historical cost less accumulated amortization and any impairment losses. Amortization is provided over the estimated useful life of four years using the straightline method

3.10 Other payables

Other payables are obligations to pay for goods or service that have been acquired in the ordinary course of business from suppliers. Other payables are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities.

3.11 Employees' benefits

A provision is made for the estimated liability for employees' entitlement to annual leave and leave passage as a result of services rendered by the employees up to the reporting date.

Provision is made for the estimated liability for employees' entitlement to annual leave and leave passage as a result of services rendered by eligible employees up to the reporting date.

Provision is made for estimated liability for the employees' benefit which is calculated annually using the projected unit credit method. The present value of the defined benefit obligation is determined by

discounting the estimated future cash flows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid.

3 Summary of significant accounting policies (continued)

3.11 Employees' benefits (continued)

Pension contributions are made in respect of UAE national employees to the Abu Dhabi Retirement and Pension Benefits Fund, calculated in accordance with Government regulations. Such contributions are charged to the statement of comprehensive income during the employees' period of service.

The provision relating to annual leave, leave passage and pension contribution is considered as a current liability, while that relating to end of service benefits is disclosed as a non-current liability.

3.12 Revenue recognition

Revenue is recognised as follows:

Contributions are recognised where there is reasonable assurance that the contribution will be received and all attached conditions will be complied with.

When the contribution relates to an expense item, it is recognised as income over the period necessary to match the contribution on a systematic basis to the costs that it is intended to compensate. To the extent that the contribution is not matched to expenditure in the year, it is recognised as deferred income.

Where the contribution relates to an asset, it is recognised as deferred income and released to income in equal amounts over the expected useful life of the related asset.

4 Critical accounting judgments and key sources of estimation uncertainty

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

The resulting accounting estimates will, by definition, seldom equal the related actual results.

The Center's management makes estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgments are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

(a) Useful lives of equipment and intangible assets

The Center's management determines the estimated useful lives of its equipment and intangible assets for calculating depreciation and amortization. This estimate is determined after considering the expected usage of the asset and physical wear and tear. Management reviews the residual value and useful lives annually and future depreciation and amortization charges would be adjusted where the management believes the useful lives differ from previous estimates.

5 Equipment

	Furniture & fixtures AED	Plant & machinery AED	Building AED	Total AED
Cost				
At 1 January 2021	112,725	6,119,401	7,277,144	13,509,270
Additions	-	64,020	-	64,020
At 1 January 2022	112,725	6,183,421	7,277,144	13,573,290
Additions	-	143,168	-	143,168
At 31 December 2022	**112,725**	**6,326,589**	**7,277,144**	**13,716,458**
Accumulated depreciation				
At 1 January 2021	95,558	4,820,947	1,450,938	6,367,443
Charge for the year	13,416	809,603	364,262	1,187,281
At 1 January 2022	108,974	5,630,550	1,815,200	7,554,724
Charge for the year	3,751	376,806	364,262	744,819
At 31 December 2022	**112,725**	**6,007,356**	**2,179,462**	**8,299,543**
Carrying amount				
At 31 December 2022	**-**	**319,233**	**5,097,682**	**5,416,915**
At 31 December 2021	3,751	552,871	5,461,944	6,018,566

6 Intangible assets

	AED
Cost	
At 31 December 2021 and 2022	436,987
Accumulated Amortization	
At 1 January 2021	378,284
Charge for the year	58,703
At 1 January 2022	436,987
Charge for the year	-
At 31 December 2022	**436,987**
At 31 December 2022	**-**
At 31 December 2021	-

7 Other receivables

	2022 **AED**	2021 AED
Prepayments	**2,182**	556,958
Others	**-**	32,511
	2,182	589,469

8 Cash and bank balances

	2022 **AED**	2021 AED
Cash at bank	**2,589,370**	1,199,889

Balances with banks are assessed to have low credit risk of default since these banks are highly regulated by the central banks of the respective countries. Accordingly, management of the Center estimates the loss allowance on balances with banks at the end of the reporting period at an amount equal to 12 month ECL. None of the balances with banks at the end of the reporting period are past due, and taking into account the historical default experience and the current credit ratings of the bank, management have assessed that there is no impairment, and hence have not recorded any loss allowances on these balances.

9 Related parties

Related parties represent associated companies, directors and key management personnel of the Center, and entities controlled, jointly controlled or significantly influenced by such parties and other organizations which are part of the Government of Abu Dhabi including Aerospace Holding Company LLC and Khalifa University of Science and Technology. Pricing policies and terms of these transactions are approved by the Center's management.

(a) Statement of financial position

The following are balances included in statement of financial position arising from transactions with related parties at terms agreed by management:

	2022	2021
	AED	AED
Due to related parties:		
Aerospace Holding Company	**58,333**	408,333
Khalifa University of Science and Technology	**46,542**	-
	104,875	408,333

(b) Statement of in the statement of profit or loss and other comprehensive income

The following transactions were carried out with related parties at terms agreed by management:

	2022	2021
	AED	AED
Contributions received during the year:		
Aerospace Holding Company LLC	**2,452,381**	952,381
Khalifa University of Science and Technology	**1,200,000**	-
	3,652,381	952,381

Staff cost includes expenses paid to seconded employees from Khalifa University of Science and Technology and Aerospace Holding Company LLC as follows:

	2022	2021
	AED	AED
Khalifa University of Science and Technology	**54,989**	246,460
Aerospace Holding Company LLC	**350,000**	350,000
	404,989	596,460
Other costs charged by related parties:		
Khalifa University of Science and Technology	**-**	22,660
Other costs charged to related parties:		
Khalifa University of Science and Technology	**158,906**	-

10 Provision for employees' end of service benefits

	2022	2021
	AED	AED
At 1 January	**109,472**	166,556
Charge for the year (Note 14)	**46,274**	63,996
Paid during the year	**-**	(121,080)
At 31 December	**155,746**	109,472

11 Other payables

	2022	2021
	AED	AED
Accrued expenses	**133,356**	100,721
Other payables	**176,712**	91,650
	310,068	192,371

12 Net assets attributable to center

Contribution from AHC and KUST, in the statement of statement of profit or loss and other comprehensive income, represents the portion of the grants received or receivable that has been recognized in the statement of statement of profit or loss and other comprehensive income to cover the Center's operating expenses, depreciation and amortization of equipment and intangible assets respectively, in accordance with the Center's policy for recognition of contribution revenue.

Deferred grants represent the portion of grants received by the Center and recognize to purchase, construct or otherwise acquire non-current assets and will be amortised to the statement of profit or loss and other comprehensive income on a systematic and rational basis over the useful lives of the related assets.

Movement in net assets is set out below:

	Assets	Operations	Total
	AED	AED	AED
At 1 January 2021	7,200,530	2,364,246	9,564,776
Contributions received	-	952,381	952,381
Transfer from deferred operating contributions	64,020	(64,020)	-
Grant recognized as revenue in the statement of profit or loss and other comprehensive income	(1,245,984)	(2,173,425)	(3,419,409)
At 31 December 2021	6,018,566	1,079,182	7,097,748

12 Net assets attributable to center (continued)

	Assets AED	Operations AED	Total AED
At 1 January 2022	6,018,566	1,079,182	7,097,748
Contributions received	-	3,652,381	3,652,381
Transfer from deferred operating contributions	143,168	(143,168)	-
Grant recognized as revenue in the statement of profit or loss and other comprehensive income	(744,819)	(2,567,532)	(3,312,351)
At 31 December 2022	**5,416,915**	**2,020,863**	**7,437,778**

As per the third phase of the collaboration agreement, AHC shall provide funding of AED 10,000,000 and KUST AED 8,000,000 over the period of third phase. As per the second phase of the collaboration agreement, AHC and KUST contributed funding of AED 5,400,000 to the Center over the period of second phase. The amount for the first phase was AED 27,600,000.

KUST will also provide in-kind technical and managerial human resources and expertise to the Center for an amount of AED 2,000,000 over the third phase. The amount of in-kind contribution from KUST for the first phase was AED 6,000,000 and second phase was AED 600,000 respectively.Any funds or resources (including cash, in-kind and know- how) allocated to the Center that remain unused at the end of any financial reporting period shall be automatically rolled over to the following period.

13 General and administrative expenses

	2022 AED	2021 AED
Staff cost (Note 14)	**1,758,296**	1,672,847
Lab supplies	**842,124**	431,384
Professional fees	**45,450**	50,450
Other	**6,080**	18,744
	2,651,950	2,173,425

14 Staff costs

	2022 AED	2021 AED
Salaries and wages	**1,056,671**	977,772
End of service benefits (Note 10)	**46,274**	63,996
End of service charged by a related party	**5,437**	9,242
Other benefits	**649,914**	621,837
	1,758,296	1,672,847

15 Financial instruments

The accounting policies for financial instruments have been applied to the line items below:

	2022	2021
	AED	AED
Financial assets:		
Cash and bank balances (Note 8)	**2,589,370**	1,199,889
Other receivables excluding prepayments (Note 7)	**-**	32,511
	2,589,370	1,232,400
Financial liabilities:		
Due to related parties (Note 9)	**104,875**	408,333
Other payables (Note 11)	**310,068**	192,371
	414,943	600,704

Financial risk management

Financial risk factors

The Center's activities expose it to a variety of financial risks: market risk (including foreign currency exchange risk, price risk and cash flow and fair value interest rate risks), credit risk and liquidity risk. The Center's overall risk management process seeks to minimise potential adverse effects of these risks on the Center's in the statement of profit or loss and other comprehensive income.

Market risk

(i) Foreign currency exchange risk

Foreign exchange risk is limited as the Center's transactions are principally in UAE Dirhams and US Dollars. The stability of the rate of exchange between the two currencies mitigates this risk.

(ii) Price risk

The Center has no significant exposure to commodity or equity price risk.

(iii) Cash flow and fair value interest rate risks

As the Center has no significant interest-bearing assets or liabilities, the Center's income and operating cash flows are substantially independent of changes in market interest rates.

15 Financial instruments (continued)

Credit risk

Credit risk arises from cash and cash equivalents, deposits with banks and financial institutions, as well as credit exposures to customers, including outstanding receivables and committed transactions. Individual risk limits are based on management's assessment on a case-by-case basis. The utilisation of credit limits is regularly monitored.

Liquidity risk

Prudent liquidity risk management implies maintaining sufficient cash and cash equivalents and the availability of adequate funding. Due to the nature of the Center's business and support from the shareholders, liquidity risk is not deemed to be significant.

The table below summarises the maturity profile of the Center's financial liabilities as at 31 December 2022 and 2021 based on contractual undiscounted payments and current market rates:

	Less than 1 year AED
31 December 2022	
Due to related parties (Note 9)	**104,875**
Other payables (Note 11)	**310,068**
	414,943
31 December 2021	
Due to related parties (Note 9)	408,333
Other payables (Note 11)	192,371
	600,704

Fair value estimation

The carrying value of financial assets and liabilities of the Center approximates their fair value.

15 Financial instruments (continued)

Risk management

The Center's policy is to place cash and cash equivalents with reputable banks and financial institutions.

The Center trades only with recognized, creditworthy third parties. Receivable balances are monitored on an ongoing basis with the result that the Center's exposure to bad debts is not significant. Credit risks limited to the carrying values of financial assets in the statement of financial position.

Impairment of financial assets

While cash and cash equivalents are subject to the impairment requirements of IFRS 9, the identified impairment loss was immaterial.

16 Approval of financial statements

The financial statements were approved by management and authorised for issue on _____.